

Pantry Collective — a house of direct-to-consumer food brands

The Problem

Small food brands with genuine customer love hit a ceiling. They cannot afford a supply chain team, a performance marketing function or a retail sales force, and they plateau at €3M to €8M of revenue with a founder doing six jobs.

Consolidating them under one operating platform should let each of them access capabilities none could afford alone.

Our Solution

Pantry Collective acquires and operates direct-to-consumer food brands on a shared platform: one supply chain, one fulfilment network, one marketing function, one data stack.

We have acquired four brands in three years — a granola business, a hot sauce brand, a coffee subscription, and a snack company. Combined revenue is €31M.

Our two best-known brands have real equity with consumers. The hot sauce brand has 340,000 social followers and appears in national press without us paying for it.

The Market

Direct-to-consumer food in Europe is around €14B and growing. There are several hundred brands in our target size range, most of them with no obvious exit path, which is what makes them acquirable at reasonable multiples.

Competition

Several aggregators operate in e-commerce, most of them in marketplace rather than food. Two European groups pursue a similar strategy in food specifically.

The Team

Hugo Lefèvre was a consultant and led two consumer M&A; processes. Beatriz Salgado ran growth marketing at a D2C brand.

One hundred and four people across the four brands.

Traction

- €31M combined revenue, against €27M at acquisition
- 210,000 active customers across the brands
- 34% of revenue from subscription
- two brands now stocked in national retail

Business Model

We own the brands and take their margin. Blended gross margin is 42%.

The integration has not worked, and the numbers show it.

We projected €4.2M of annual synergy from consolidating supply chain and marketing. We have realised €900,000. Moving the granola brand onto the shared fulfilment network took eleven months and cost us a stockout in the fourth quarter that the brand has not recovered from — its revenue is down 14% since acquisition.

Two of the four founders left within a year of their earn-out starting, and both brands they built have lost momentum since. The coffee subscription has grown 22%; it is the one brand we have largely left alone.

We are carrying €19M of acquisition debt against combined EBITDA of €1.1M.

Go-To-Market

Each brand keeps its own channels. The shared marketing function buys media across all four.

Funding

We are raising €15M, of which €11M refinances the acquisition debt and €4M funds the completion of the platform integration.